

Federal Tax-Exemption Development Dossier

Form 1023 Strategy, Activity Narrative, Public-Charity Classification, Founder
Compensation & Evidence Index

Version 0.4 | September 19, 2026

[[LEGAL_CORPORATE_NAME]] / [[PUBLIC_COMMUNITY_NAME]]

Pre-filing working draft. Counsel/CPA and future Board review required before legal or tax submission. Not legal or tax advice.

Purpose

Turn the stated first-24-month vision into a defensible federal exemption work file while separating concrete plans from matters that still need real-world facts.

v0.4 Selected Baseline - Provisional Organizational Decisions

These are design defaults for drafting. They do not become legally operative until adopted/filed by the appropriate persons.

Topic	Working decision	Why
Tennessee corporation type	Public benefit religious nonprofit corporation	Intended religious, educational and charitable purposes serve public rather than mutual/private benefit.
Statutory members	No statutory members at formation	Avoids creating a corporate electorate before a real community exists; participant rights remain protected by charter/bylaws/policies.
Board	5-seat formation target; 7-11 mature board; $\geq 2/3$ independent mature board	Tennessee minimum is 3; stronger internal standard distributes power and supports founder accountability.
Founder	Founder + President/Executive Director + Director	Separates historical founder status from corporate sovereignty while allowing operational leadership.
Chair	Independent person other than Founder/President	Prevents executive and board oversight from collapsing into one office.
Secretary	Separate person from President	Tennessee law requires President and Secretary and forbids one person from holding both offices simultaneously.
Treasurer	Prefer independent/separate person	Financial authority should not be concentrated with spiritual/executive authority.
Federal application	Full Form 1023	Provides a detailed record appropriate to a complex religious/educational/charitable organization.
Initial public-charity class	509(a)(1)/170(b)(1)(A)(vi), subject to actual funding model	Intended reliance on donations/grants/public support is compatible with this classification; verify projections before filing.
Church classification	Defer until actual congregation/services/government/worship facts exist	IRS applies a facts-and-circumstances church analysis and generally expects a congregation or religious membership group meeting for worship.
Founder compensation	Initially unpaid except policy-compliant expense reimbursement; later prospective reasonable compensation after independent approval	Avoids self-dealing while preserving a path to legitimate paid full-time leadership.
Fiscal year	December 31	Selected by Founder.
Filing sequence	Prepare -> recruit board -> select name -> counsel review -> file TN charter -> organize -> EIN -> banking -> Form 1023 -> public launch	Reduces avoidable amendments and avoids launching high-risk programs before controls exist.

Federal Public-Charity Classification - Working Memo

Working position

Prepare the full Form 1023 and initially request classification as a publicly supported religious organization under **IRC 509(a)(1) and 170(b)(1)(A)(vi)**, subject to the final three-year funding projections and tax-adviser review.

Why not request church classification immediately?

The organization intends to develop worship, religious government, clergy/ordination, literature, education, and a congregation. But these institutional facts are still being formed. IRS Form 1023 instructions state that church classification uses facts and circumstances and generally requires a congregation or other religious membership group. The organization should not invent a congregation, regular services, ministerial training, history, or established place of worship to satisfy a checklist.

If actual operations mature into church facts, the Board can later evaluate whether to request reclassification.

Why 170(b)(1)(A)(vi) is the current working choice

This classification generally applies where an organization normally receives a substantial part of support from governmental units, contributions from the general public, or public charities. The project presently anticipates charitable donations and grants as major funding sources rather than relying primarily on investment income or a small closed donor group.

The selection remains conditional because Form 1023 financial data must be consistent with the requested public-charity classification. The three-year projection workbook will test this assumption before filing.

Form choice

Use the **full Form 1023**. Even if the organization might qualify for Form 1023-EZ as a non-church public charity at some point, the full application is the preferred governance record for this project because it forces disclosure and analysis of planned activities, insiders, compensation, financial arrangements, fundraising, grants, intellectual property, and public-support assumptions.

If the organization later applies specifically for recognition as a church, it is not eligible to use Form 1023-EZ for that request under current IRS instructions.

Working NTEE code

The likely umbrella code is **X99 - Religion Related, N.E.C.** rather than X90 Interfaith Coalitions unless the actual organization becomes principally a coalition of separate faith organizations. Because the project is developing its own religious community rather than simply coordinating existing religions, X99 is the better working code. Confirm at filing.

Form 1023 Part IV - Working Narrative of Activities

Important: This is a drafting narrative. Final filing language must reflect activities the organization actually conducts or has concrete plans to conduct. Percentages, locations, frequencies, fees, and staffing marked as working assumptions must be confirmed by the Board.

1. Regular religious gatherings and worship

The Organization will conduct public religious gatherings in person and/or online. Gatherings are intended to provide communal worship, prayer or contemplative practice, readings, reflection, teaching, music or other forms of religious expression, community discussion, and opportunities for charitable service. The form of worship and liturgical calendar are still being developed and will be documented before the Organization requests classification as a church.

Conducted by: Founder/President initially, invited teachers/facilitators, and later authorized clergy or trained leaders.

Where: rented/community spaces and online platforms initially; future owned/leased facilities only when financially prudent.

Funding: charitable contributions and grants; generally open without mandatory payment.

Exempt purpose: advances religion, religious education, community, and charitable service.

Working time allocation: 20% - confirm before filing.

2. Religious study and educational programs

The Organization will conduct classes, seminars, reading groups, lectures, workshops, and structured educational materials concerning religious texts, history, comparative religion, theology, philosophy, ethics, spiritual practices, and related disciplines. Programs may be offered to adults, families, and eventually children subject to safeguarding controls.

Educational programs will not initially be represented as a school unless the Organization actually develops the regular faculty, enrolled student body, curriculum, and facilities relevant to school classification.

Conducted by: Founder/research leadership, qualified instructors, invited scholars/practitioners, trained volunteers.

Where: online and rented/community facilities.

Funding: donations/grants and, where appropriate, reasonable program fees with scholarships/waivers as adopted.

Exempt purpose: religious and educational.

Working time allocation: 15% - confirm.

3. Historical and religious research

The Organization will conduct historical, textual, comparative, phenomenological, and interdisciplinary research concerning religious claims, traditions, practices, institutions, sacred texts, historical encounters, and the development of religious ideas. Research methods are intended to distinguish source evidence, inference, interpretation, theological hypothesis, communal teaching, and personal conviction.

Research may result in articles, reports, annotated source collections, educational materials, lectures, databases, or books. The Organization will not condition research conclusions on protecting the reputation of the Founder or institution.

Conducted by: Founder/research leader, future research staff, fellows, volunteers, advisers, and collaborating scholars under written arrangements where appropriate.

Funding: contributions, grants, publication/program revenue where exempt-related, and restricted research gifts.

Exempt purpose: religious, educational, and where applicable scholarly research available for public benefit.

Working time allocation: 20% - confirm.

4. Publication and digital religious/educational services

The Organization will maintain a website and digital services publishing religious, educational, historical, governance, and research materials. It may produce newsletters, essays, reports, books, podcasts, videos, digital courses, worship materials, and community resources. Public materials will identify corrections where material errors are discovered.

Funding: donations, grants, and reasonable sales/subscription/program revenue related to exempt activities.

Intellectual property: ownership/licensing arrangements involving the Founder or other insiders will be documented in writing and approved through conflict/related-party procedures before material transactions occur.

Exempt purpose: religious and educational dissemination.

Working time allocation: 10% - confirm.

5. Pastoral and spiritual care

The Organization will provide nonclinical pastoral/spiritual care, prayer, listening, spiritual direction, religious rites, and referrals. Pastoral personnel will follow the adopted ethics code, disclose qualifications, maintain boundaries/confidentiality subject to law, and refer medical/mental-health/legal/financial matters beyond their competence to qualified professionals.

No pastoral relationship will authorize control over an adult's marriage, healthcare, finances, residence, employment, family relationships, or legal decisions.

Funding: primarily donations; no person will be denied emergency/basic pastoral contact solely for inability to pay.

Working time allocation: 10% - confirm.

6. Charitable assistance and community service

The Organization plans to provide charitable assistance to persons in need and to conduct service projects. Assistance may include food, emergency needs, limited direct aid, referrals, or grants under written eligibility and documentation procedures. Assistance will not be conditioned on conversion, worship attendance, donations, loyalty to leadership, or silence about complaints.

Insiders and their families may not receive charitable assistance except under an independently reviewed policy demonstrating objective eligibility and avoidance of private benefit.

Funding: unrestricted/restricted charitable contributions and grants.

Working time allocation: 10% - confirm.

7. Retreats and community formation

The Organization plans periodic retreats, study intensives, community meals, service days, and other formation activities. Retreat participation will be voluntary; the Organization will not use sleep deprivation, food deprivation, isolation, confiscation of communications/identification, or coercive confession as commitment techniques.

Funding: donations and reasonable participant fees reflecting costs, with waivers/scholarships where feasible.

Working time allocation: 5% - confirm.

8. Clergy / religious-leader formation and ordination

The Organization intends to develop standards for recognizing or ordaining religious leaders. No instant/self-ordination or fee-only credential will be represented as evidence of training. Before launching ordination, the Board will adopt qualifications, education/formation requirements, supervised practice, ethics/safeguarding standards, complaint/discipline procedures, continuing formation, and credential removal/appeal rules.

Funding: donations, grants, and reasonable educational fees if adopted.

Working time allocation: 5% - confirm.

9. Children's religious/educational programming

The Organization plans age-appropriate religious and educational programs for children after its safeguarding system is fully active. Covered workers will complete screening/training, two-adult/observable-environment controls will apply, and Tennessee child-abuse reporting duties will not be displaced by religious processes.

Working time allocation: 5% once activated; adjust the total allocation table when the program starts.

10. Intentional community, property acquisition, and housing - development-stage only

The Organization has a long-range plan to explore land/property acquisition, retreat facilities, intentional community, and possibly housing. **This activity is not ready for final Form 1023 narrative treatment until the Board adopts a concrete model** identifying beneficiaries, rents/fees, eligibility, resident rights, employment relationships, eviction/exit rules, property ownership, financing, safety, and the relationship between religious participation and housing.

Before activation, the Board will obtain separate nonprofit, housing, tax, land-use/zoning, employment, insurance, and safeguarding review. Housing will not be used to punish religious disagreement, complaints, or departure.

Working allocation table

The current working allocation for Activities 1-8 is 95%. A children's-program allocation of 5% would bring the total to 100% once activated. If children's programming is not concrete at filing, reallocate that 5% among Activities 1-8 and omit Activity 9 as a substantial planned program until appropriate. Housing/property development is treated as a future capital/program-development item and is not assigned an operating-time percentage until its model is concrete.

Form 1023 Issue Spotter & Evidence Checklist

Organizational documents

- Filed charter with 501(c)(3)-compatible purpose and dissolution language.
- Bylaws and nonmember schedule.
- EIN confirmation.
- Board/officer roster and relationships.
- Conflict policy, Founder Covenant, compensation SOP, safeguarding/complaint policies.

Part IV activity questions requiring final answers

Issue	Current working position	Evidence / decision still required
Worship frequency	Planned	regular day/time and format once established
Locations	Online + rented/community space	city/venue approach; leases if any
Program fees	Possible reasonable fees	fee schedule / waiver policy
Children's programming	Planned after safeguards	launch timing, curriculum, personnel, screening
Charitable assistance	Planned	eligibility, approval limits, records, insider exclusion
Grants	Possible	grantmaking policy if material
Ordination	Planned	curriculum, prerequisites, supervision, standards
Housing/intentional community	Development stage	separate detailed legal/program design before filing as concrete activity
Intellectual property	Research/publication expected	inventory of pre-existing Founder IP and organizational ownership/license policy
Founder compensation	Deferred until independent Board approval	job description, hours, comparability data, compensation resolution
Family/business relationships	Unknown until board/staff recruited	disclosures
Fundraising	donations, grants, web giving, events	vendors, state solicitation analysis, donor benefits
Foreign activity	None stated	confirm
Political campaign activity	Organization will not intervene in campaigns	adopt compliance guidance
Lobbying	none currently planned as substantial	confirm / consider 501(h) advice only if future lobbying becomes material and eligibility permits

Financial-information gate

Because the organization will be newly formed, the current IRS instructions call for a total of **three years** of good-faith projected revenue and expenses when the applicant has completed less than one tax year. The linked v0.4 workbook is the working model.

Website consistency gate

The final website should be reviewed against the Form 1023 before filing. IRS instructions expressly request the organization's website and expect public information to be consistent with the application.

Founder Role & Compensation - Working Governance Memo

Proposed role architecture

Founder - historical designation only; carries no veto, property ownership, life tenure, doctrinal infallibility, succession power, or immunity from discipline.

President / Executive Director - operational executive accountable to the Board.

Research & Religious Formation Lead - functional portfolio that may be held by the President initially, subject to doctrine/revelation process controls and future delegation.

The Founder should **not** serve as independent Board Chair. The Founder may serve as a director while employed as President/Executive Director but is treated as non-independent.

Initial compensation

Working baseline:

The Founder serves without salary until the corporation has an independent Board capable of approving compensation prospectively and the organization has sufficient financial capacity. The Founder may receive reimbursement of documented, legitimate organizational expenses under the same accountable reimbursement policy applicable to other personnel.

This is not intended to create a permanent expectation of unpaid labor.

Future compensation approval sequence

1. Board adopts a written job description and expected time commitment.
2. Founder discloses all compensation/benefit interests and leaves deliberation/vote.
3. Disinterested directors obtain appropriate comparability information.
4. Board considers the organization's resources, duties, geography, complexity, qualifications, and total compensation.
5. Disinterested directors approve compensation **before** it is paid or increased.
6. Minutes/compensation memo contemporaneously record decision makers, data, terms, recusals, and rationale.
7. Board reviews total compensation at least annually and on material role changes.

Compensation components to count

Salary is only one element. The review must include housing, allowances, insurance, retirement, bonuses, deferred compensation, severance, personal-expense payments, loans, vehicles, education, and other economic benefits.

Housing caution

If the organization later provides a residence to the Founder or clergy, the arrangement requires separate tax/legal analysis. It must not become an informal benefit outside the compensation file, and the Board must distinguish organizational property needs from private benefit.

Founder intellectual property

Before publication or monetization becomes material, create an IP schedule distinguishing:

- pre-existing works/assets personally owned by the Founder;
- work created as an uncompensated volunteer for the corporation;
- work created within compensated employment;

- trademarks/domains/accounts owned by the corporation;
- any licenses/assignments between Founder and corporation.

Any material transfer or license with the Founder is a related-party transaction requiring independent review and fair terms.

Form 1023 Development Evidence Index

Evidence ID	Item	Status	Owner	Filing use
TAX-001	Filed Tennessee charter	Not yet available	Founder/Secretary	Part II attachment
TAX-002	Final bylaws / nonmember schedule	Draft	Board	Governance attachment
TAX-003	EIN confirmation	Not yet available	President/Secretary	Part I
TAX-004	Director/officer roster + relationships	Recruiting	Secretary	Part I / compensation relationships
TAX-005	Part IV activity narrative	v0.4 working draft	Board	Part IV
TAX-006	3-year financial projections	Workbook created; inputs pending	Treasurer	Part VI
TAX-007	Conflict/related-party policy	Draft complete	Board	Part V / exhibit
TAX-008	Founder Covenant	Draft complete	Board	Governance exhibit
TAX-009	Compensation approval policy	Draft complete	Board	Part V
TAX-010	Safeguarding / complaints policies	Draft complete	Board	Activity/governance evidence
TAX-011	Fundraising plan	Working	Treasurer/Development	Part IV
TAX-012	Charitable assistance procedure	Needs detailed activation procedure	Board	Part IV
TAX-013	Intellectual property schedule	Not started	Founder/Board	Part IV IP question
TAX-014	Website/public materials snapshot	Not yet available	Secretary	Consistency check
TAX-015	Public charity classification memo	v0.4 working memo	Board/CPA	Part VII
TAX-016	Church readiness matrix	v0.3 available	Board	Future Schedule A/reclassification
TAX-017	Board filing authorization resolution	v0.3 template	Board	Permanent record

Open Decisions Register - After v0.4

Decisions the Founder must ultimately make or help make

Identity

- ☐ Select 3-5 name finalists.
- ☐ Select final public/legal name after clearance.

People

- ☐ Identify at least two additional directors (legal minimum).
- ☐ Preferably identify four additional directors (formation target).
- ☐ Identify a Secretary separate from the President.
- ☐ Identify independent Chair candidate.

Activities

- ☐ Confirm which listed programs are genuinely planned for the first 12-24 months rather than aspirations.
- ☐ Confirm worship/gathering format and expected frequency.
- ☐ Confirm whether children's programming is planned before or after Form 1023 filing.
- ☐ Decide whether ordination is an early program or later-stage program.
- ☐ Keep housing/intentional-community work in development stage until a concrete legal model exists.

Money

- ☐ Complete initial three-year budget assumptions.
- ☐ Confirm expected fundraising channels and whether fees will be charged for any programs.
- ☐ Determine when a salaried Founder/President role becomes financially feasible; the Board, not Founder, sets the amount.

Filing

- ☐ Insert registered/principal office immediately before Tennessee filing.
- ☐ Obtain counsel review of charter/bylaws and high-risk programs.
- ☐ After incorporation, obtain EIN and finalize Form 1023 evidence.

Decisions intentionally **not** required yet

- exact future land/property location;
- detailed residential community rules;
- final church classification;
- a permanent worship building;
- a mature clergy hierarchy;
- a complete long-term doctrine;
- a seven-person board on day one, provided Tennessee's minimum and the formation plan are satisfied.

Current Source Notes - v0.4

Checked: September 19, 2026. Re-check before filing.

Tennessee

- Tenn. Code Ann. § 48-52-102 (2025), Charter - public/mutual benefit status, religious-corporation statement, registered agent/office, incorporator, principal office, nonprofit statement, member/nonmember statement, dissolution provisions: <https://law.justia.com/codes/tennessee/title-48/nonprofit-corporations/chapter-52/section-48-52-102/>
- Tenn. Code Ann. § 48-54-101 (2025), Corporate name - distinguishability and restrictions on false affiliation/sponsorship: <https://law.justia.com/codes/tennessee/title-48/nonprofit-corporations/chapter-54/section-48-54-101/>
- Tenn. Code Ann. § 48-54-102 (2025), Reserved name - four-month reservation: <https://law.justia.com/codes/tennessee/title-48/nonprofit-corporations/chapter-54/section-48-54-102/>
- Tennessee Secretary of State Business Forms & Fees - current list shows \$20 nonprofit name reservation and \$100 nonprofit charter filing: <https://sos.tn.gov/businesses/forms-and-fees>
- Tenn. Code Ann. § 48-58-103 (2025) - board must have at least three natural persons: <https://law.justia.com/codes/tennessee/title-48/nonprofit-corporations/chapter-58/part-1/section-48-58-103/>
- Tenn. Code Ann. § 48-58-104 (2025) - nonmember corporation directors elected/appointed/designated as charter/bylaws provide: <https://law.justia.com/codes/tennessee/title-48/nonprofit-corporations/chapter-58/part-1/section-48-58-104/>
- Tenn. Code Ann. § 48-58-401 (2025) - every nonprofit has a President and Secretary; same individual cannot simultaneously hold both: <https://law.justia.com/codes/tennessee/title-48/nonprofit-corporations/chapter-58/part-4/section-48-58-401/>

IRS

- Instructions for Form 1023 - activities narrative, financial projections, public-charity classifications, church Schedule A, compensation/conflicts: <https://www.irs.gov/instructions/i1023>
- Form 1023 narrative details: <https://www.irs.gov/charities-non-profits/form-1023-detail-required-in-narrative-description-of-activities>
- Form 1023 required financial information: <https://www.irs.gov/charities-non-profits/form-1023-required-financial-information>
- Form 1023 compensation/financial relationships: <https://www.irs.gov/charities-non-profits/form-1023-required-information-about-compensation-and-other-financial-information>
- Form 1023 conflict-policy purpose: <https://www.irs.gov/charities-non-profits/form-1023-purpose-of-conflict-of-interest-policy>
- Form 1023-EZ instructions - applicant seeking church recognition is ineligible for 1023-EZ: <https://www.irs.gov/instructions/i1023ez>
- Form 1023 user fee - currently \$600, paid through Pay.gov; subject to change: <https://www.irs.gov/charities-non-profits/form-1023-and-1023-ez-amount-of-user-fee>
- Public charity classification overview: <https://www.irs.gov/charities-non-profits/determine-your-foundation-classification>

Limited public-name collision screen

General web searches identified active/current use of "The Common Assembly," "The Sacred Commons," "Open Sanctuary," "Common Sanctuary," and "The Sacred Inquiry." This is not a trademark or Tennessee-entity clearance and is only a reason not to prioritize those exact identities.